Submission to the Parliamentary Joint Committee on Defence

regarding the

Defence Legislation Amendment (Accelerating Capability and Protecting Bases) Bill 2026

October 2026

Who we are

Digital Rights Watch is a charity founded in 2016 to promote and defend human rights as realised in the digital age. We stand for privacy, democracy, fairness, and freedom. Digital Rights Watch educates, campaigns, and advocates for a digital environment in which rights are respected, and connection and creativity can flourish. More information about our work is on our website: www.digitalrightswatch.org.au.

Acknowledgement of Country

Digital Rights Watch acknowledges the Traditional Owners of Country throughout Australia and their continuing connection to land and community. We acknowledge the Aboriginal and Torres Strait Islander peoples as the true custodians of this land that was never ceded and pay our respects to their cultures, and to elders past and present.

Statement on the use of AI in this submission

Digital Rights Watch confirms that no generative AI was used in the creation of this submission. Any mistakes herein are genuine human errors and any useful policy ideas are the result of genuine human thought and creativity.

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General Position

Digital Rights Watch (DRW) welcomes the opportunity to provide comment to the committee on the defence legislation amendment 2026

We note that the bill and explanatory memorandum are significant in size and scope, while the window of opportunity for public consultation and submissions is narrow. It is very concerning to see such a significant piece of legislation to be pushed through the parliamentary process at such speed, restricting the level of public and parliamentary scrutiny that can and should be brought to bear.

As a result, our submission is somewhat terse, reflecting our position on a small number of critical issues. In summary - extending the scope of the bill to include corporations working on electronic capabilities is problematic from a human rights perspective.

We would welcome the opportunity to discuss our position further with the committee, if this is of use to your work.

Definition of defence officials

We are concerned with section 4A's expansive definition of "defence official", especially the assertion that this includes 3rd party contractors that act as suppliers to the Dept. of Defence.

While most Australians would accept the need for ADF personnel and allied defence forces to train and develop capability together, extending that invitation to include what are functionally mercenaries raises some questions, not to mention eyebrows.

This is worrying particularly when considering AI hyperscalers who also work as defence contractors, who may have defence-related and civilian infrastructure co-located, and whose products and capabilities can serve both civilian and defence purposes.

This is even more concerning, given the discretionary powers in the bill for the Minister to grant exemptions from Australian laws to defence officials. Australia currently has very little transparency over the operations of AI corporations and this legislation could be applied to further restrict public transparency over their operation.

Defence security zones

Given that AI hyperscalers could be counted as "defence officials", it seems possible that AI datacentres could be defined as a "defence security zone" per schedule 2. Given the contentious nature of AI data centre construction and operation being inflicted on communities in Australia, we are concerned that there are insufficient safeguards to prevent the use of defence security zones to restrict communities' rights to protest and resist the construction of AI data centres - effectively creating commercially-operated US-owned Pine Gaps in suburbs across Australia.

Electronic capabilities

Recently, AI corporations have released agents onto the public internet that have compromised public government websites, as well as civil infrastructure in Australia and abroad.[1]

We are concerned that giving carve-outs for AI corporations for computer crimes committed in Australia, such as Item 10 (476.2 of the Criminal Code) will result in a lack of accountability for civil damages caused by AI agents run by defence-adjacent companies. This is exacerbated by directions to destroy information that might be considered evidence for such damage. Again, this is further exacerbated by AI corporations creating and using their platforms for both civilian and defence purposes.

Much of the bill's references to the Privacy Act will need to be altered as part of the Privacy Act Tranche 2 reforms currently making their way through parliament. We would expect there to be no carve-out from the "fair and reasonable" test for defence collection and use of personal information.

[1] https://www.abc.net.au/news/2026-09-24/what-we-know-about-the-openai-medicare-hack/107189452

Compatibility with human rights

We are concerned that the STATEMENT OF COMPATIBILITY WITH HUMAN RIGHTS understates the value of the Internet as civilian infrastructure on which civic life in Australia depends.

Defence zones and joint defence exercises typically take place in controlled environments - physical areas of land set aside for the purposes of defence to which civilians are not allowed access. However, the Internet is public infrastructure that is not for the exclusive use of defence.

Australians depend on a stable, safe, secure internet for almost all aspects of our lives. Important though defence may be, granting permission to defence contractors to breach our rights to privacy, assembly, culture, expression, and self-determination online is grossly disproportionate.

AI contractors being indemnified against causing damage to the public Internet will discourage them from applying the required levels of diligence required to safely operate, and put the public at risk of civil disruption at a vast scale. It is also unclear how citizens might be able to seek redress for online rights breaches from defence contractors.